



Hand-holding and guaranteed buying programmes along with allocation of development fund by the government for select MSMEs on the basis of their capacity and expertise in the defence segment will be helpful for the SE industry. This selection can be done through defence RFI procedure."

— N. Ramachandran, managing director, MEL Systems



would also come to Indian companies in the shape of offsets as DRDO may source these from foreign OEMs.

In addition, DRDO has also come out with guidelines for transfer of technology (ToT) to the Indian industry and these will be made available to the industry at a small fee. This could be an opportunity as high as one trillion rupees or more, since most of the technologies fall in the SE domain.

The defence procure procedure is being refined continuously to create a level playing field between the private and public sector, and to expedite the procurement process as a whole. The current DPP 2013 is under review and a committee of experts has already submitted (July 2015) its final report to the defence minister. Currently, the emphasis is on giving a boost to the Indian defence industry, both in the public and private sector, by according a higher preference to Buy (Indian), Buy and Make (Indian) and Make (Indian) categorisation, bringing further clarity in the definition of Indian content and simplifying Buy and Make (Indian) procedure.

These amendments have seen an expansion of the categorisation process from only Buy cases to Buy and Make through ToT, Buy and Make (Indian) and Make (Indian) categories as well as refinements in offset policy guidelines and introduction of a new chapter on ship-building.

"There are huge opportunities for collaboration and creation of joint ventures in the defence electronics sector in India. However, the window of opportunity linked with it must benefit from big-ticket acquisitions

and offset opportunities. Major companies in the global aviation industry are keenly watching the local market in India and scouting for design partners for aerospace and defence (A&D) products as India is fast emerging as a centre for engineering and design services," explains Rao.

He adds, "The time is right for catapulting India into the league of technologically-advanced nations and I invite you all to respond to the call and move along with us on this cause of Make in India."

Current industry scenario

The industry is dominated by defence PSUs and ordnance factories, which contribute about 90 per cent of the total domestic manufacturing. Combined, the DPSUs and ordnance factories have played a critical role in building a domestic industrial base in this sector as they typically outsource 20 per cent to 25 per cent of their production requirements to private companies.

In addition to public undertakings, there is a small but growing number of medium and large private companies that have already entered or are seriously evaluating opportunities to enter the market. These are in addition to 6000 MSMEs that work closely with DPSUs and the private sector.

SE, especially in defence domain, is a sensitive area and the current dependence on imports is a cause for concern. These systems are a key contributor to delivering the necessary competitive edge in conflict situations and thus, are a very important aspect of nearly all weapon systems, platforms and equipment. As a result,

it is also one of the most protected industries around the world.

The Indian defence preparedness had to pass through a tough phase for several decades due to the sanctions imposed by the West. The situation was further complicated by the lack of a strong industrial base in the country, inadequate testing and other facilities and the shortage of trained/skilled human resource. Efforts in the country were limited to DRDO and DPSUs [Hindustan Aeronautics Ltd (HAL) and Bharat Electronics Ltd (BEL)] until recently.

Observing the huge potential ahead, domestic as well as global private sector companies are making inroads into the huge SE market, thrown open due to huge modernisation and acquisition programmes and offset opportunities.

Indian companies like Tata Power SED, L&T, M&M Defence Systems and Rolta are now competing with foreign established companies with global outreach. Several Tier 2 vendors such as Alpha Design, Astra Microwave and Data Patterns have also found their way into the value chain.

Despite these commendable efforts, the country still lacks the capabilities required to develop the core electronic segment of compact systems. These systems such as advanced radar technologies like AESA radar, C4ISR system and electronic warfare systems can tilt the scales either ways in a conflict scenario.

SE requires strong and sustained R&D and investment support to enable faster growth in this segment and to encourage domestic players to acquire, adopt or create new technologies.

Unless a vibrant domestic sector is created—one that includes MSMEs—procurements by the Indian government will only help create and maintain jobs in other countries. To be self-reliant and also be able to export, India will have to utilise the opportunity to make in India, to not only defend herself but also earn valuable foreign exchange. ●